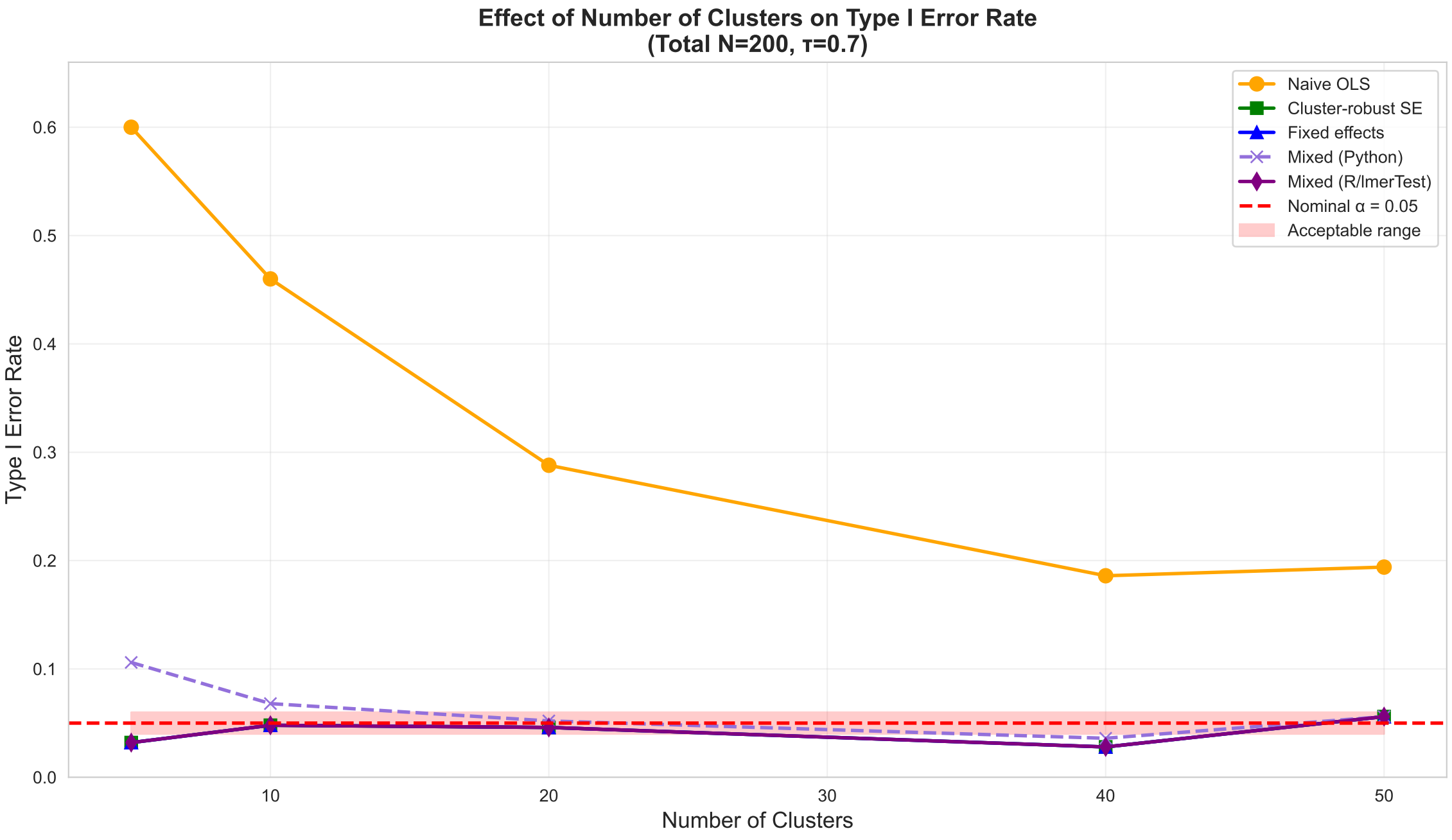
Effect of Number of Clusters on Type I Error Rate
(Total N=200, τ=0.7)
Naive OLS
Cluster-robust SE
Fixed effects
Mixed (Python)
Mixed (R/lmerTest)
Nominal α = 0.05
Acceptable range
Type I Error Rate
0.0
0.1
0.2
0.3
0.4
0.5
0.6
10
20
30
40
50
Number of Clusters